MUSIC CATALOG ACQUISITION

Asset: Hypothetical Recorded Music & Publishing Rights Portfolio
Analysis: DCF Valuation | NLS/NPS Multiples | Acquisition Financing | IRR
Recommendation: Do not proceed at proposed valuation

01 / Investment Thesis

Music catalog rights generate recurring royalty income from streaming, performance, mechanical royalties, and synchronization (synch) licensing. Established catalogs can provide relatively predictable cash flows, with a potential upside from continued streaming growth and with new licensing opportunities.

However, investment attractiveness ultimately depends on the relationship between acquisition price, royalty durability, financing costs, and expected returns.

02 / Valuation & Acquisition Economics

Financial Metric	Base Case
Normalized LTM NLS/NPS Proxy	$1.11M
Entry Capitalization Multiple	17.0×
Proposed Acquisition Value	$18.82M
Mid-Year DCF Valuation	$8.82M
Debt Financing	65%
Interest Rate	7.0%
Five-Year Unlevered IRR	5.7%
Five-Year Levered IRR	**3.6%**
Equity MOIC	1.19×

The proposed acquisition price exceeds the DCF valuation by approximately $10 million. The two methods use different cash-flow assumptions and valuation horizons, but the discrepancy raises concerns about the premium that is embedded in the purchase price.

03 / Key Findings

Acquisition pricing drives returns. At a 17.0× entry and exit multiple, the investment generates only 3.6% levered IRR. If we reduce the entry multiple to 15.0× while maintaining a 17.0× exit multiple, it increases the modeled levered IRR to approximately 11.1%.

Leverage reduces investment attractiveness. The 7.0% borrowing rate exceeds the modeled 5.7% unlevered IRR, which is producing negative leverage and limiting equity returns.

Returns are sensitive to exit assumptions. Higher exit capitalization multiples improve potential returns. However, relying on multiple expansion introduces additional valuation risk.

04 / Principal Investment Risks

- **Valuation risk:** The proposed purchase price is substantially above the DCF estimate.
- **Revenue uncertainty:** Streaming consumption, synchronization revenue, and catalog aging may affect future royalties.
- **Financing risk:** High leverage and borrowing costs reduce cash available to equity investors.
- **Rights and data risk:** Actual underwriting requires verified royalty statements, ownership documentation, and rights-level cash-flow analysis.

05 / Investment Recommendation

Do not proceed with the acquisition at the proposed 17.0× valuation.

The base-case investment generates insufficient modeled returns relative to its financing costs and valuation risks. The 3.6% levered IRR indicates that debt financing is weakening and not improving the investment's economics.

The transaction should be reconsidered only if a lower acquisition price, more favorable financing terms, or stronger substantiated royalty forecasts support an acceptable risk-adjusted return.

Investment takeaway: Music catalogs can be attractive long-term assets. However, disciplined acquisition pricing and capital structure decisions are essential to generating sustainable investor returns.

Note: All financial figures are hypothetical and intended for illustrative investment analysis.